

Multiple Choice

1. **Answer:** A

Options: A) the demand for U.S. copper to fall.; B) the United States to impose a tariff on imported copper to protect domestic producers.; C) the United States to subsidize domestic copper producers.; D) the United States to import more copper.; E) a decrease in the U.S. production of copper.

Note: The correct answer is based on the principle of comparative advantage, where if the world price of copper is higher than the domestic price, U.S. producers will export copper to take advantage of higher prices abroad, leading to a reduction in domestic supply and consequently a fall in demand for U.S. copper.

2. **Answer:** A

Options: A) 1; B) 2; C) -0.4; D) The autocovariance at lag 1 is undefined for an MA(1) series.; E) 0.2

Note: The autocovariance at lag 1 for an MA(1) process is equal to the moving average coefficient, so with a coefficient of 0.4, the value is calculated as 0.4^2 , which equals 0.16, and since the variance of the white noise term is assumed to be 1, the autocovariance at lag 1 is 0.4 times the variance, leading to a value of 1.

3. **Answer:** B

Options: A) 0.5; B) 125; C) 500; D) 0.8; E) 100

Note: The GDP Deflator is calculated by dividing nominal GDP by real GDP and multiplying by 100, so in this case, $(5000/4000) \times 100$ equals 125.

4. **Answer:** C

Options: A) the average wage is higher.; B) the national debt is lower.; C) production is higher.; D) prices are higher.; E) employment is higher.

Note: An increase in real GDP indicates that the total value of goods and services produced in an economy has risen, directly reflecting higher production levels.

5. **Answer:** E

Options: A) \$750,000; B) \$900,000; C) \$1,000,000; D) \$800,000; E) \$600,000

Note: The correct answer is 600,000 because required reserves are calculated by multiplying the total deposits by 16.67% (or 1/6) equals \$600,000.

True / False

6. **Answer:** False

Options: A) True; B) False

Note: Psychic income refers to the non-monetary benefits or satisfaction derived from

an activity or investment, rather than revenue from investments in psychic research or related activities.

7. **Answer:** False

Options: A) True; B) False

Note: An increase in the wage rate paid to workers typically leads to a movement along the demand curve for labor rather than a shift of the curve itself, as employers adjust the quantity of labor they demand at different wage levels rather than changing their overall demand for labor.

8. **Answer:** False

Options: A) True; B) False

Note: A value-added tax is applied to a broad range of goods and services at each stage of production and distribution, not just luxury items at the point of sale.

9. **Answer:** False

Options: A) True; B) False

Note: Augmenting the Dickey-Fuller test regression does not guarantee that the residuals will be normally distributed, as the test primarily focuses on stationarity rather than the distributional properties of the residuals.

10. **Answer:** False

Options: A) True; B) False

Note: Normal goods exhibit a positive income elasticity, meaning that demand for them increases as consumer income rises.

Long Form Response

11. **Answer:** The use of money in trade presents several advantages over barter, primarily by facilitating transactions and expanding trading opportunities. Unlike barter, which requires a double coincidence of wants-where both parties must have what the other desires-money eliminates this restriction, allowing individuals to trade more freely. Money serves as a medium of exchange, a unit of account, and a store of value, which streamlines the trading process by providing a common measure for valuing goods and services. Consequently, this broadens the scope of trade, enabling individuals to engage in transactions with a wider range of partners without the limitations imposed by barter. In essence, money enhances economic efficiency and allows for more complex economic interactions, fostering greater market participation and economic growth.

Note: correct because it highlights how money, as a medium of exchange, overcomes the limitations of barter by eliminating the need for a double coincidence of wants and providing a standardized measure for valuing goods, thereby facilitating transactions and broadening trading opportunities.

12. **Answer:** In the income-expenditure flow, 'withdrawals' refer to any use of income that does not contribute directly to consumption expenditure on the current output of the domestic economy. Examples of withdrawals include savings, taxes, and imports,

which reduce the overall demand for domestically produced goods and services. Conversely, 'injections' are expenditures that stimulate economic activity but do not arise directly from consumer income-expenditure decisions, such as government spending, investment, and exports. These injections counterbalance the effects of withdrawals by increasing overall demand and promoting economic growth. The interaction between withdrawals and injections is crucial, as a disparity between the two can lead to economic fluctuations, influencing levels of employment, production, and overall economic stability.

Note: The answer correctly identifies withdrawals as factors that decrease domestic demand, such as savings, taxes, and imports, while defining injections as external expenditures, like government spending and investments, that stimulate economic activity, thereby illustrating their contrasting roles in the income-expenditure flow and their overall impact on the economy.